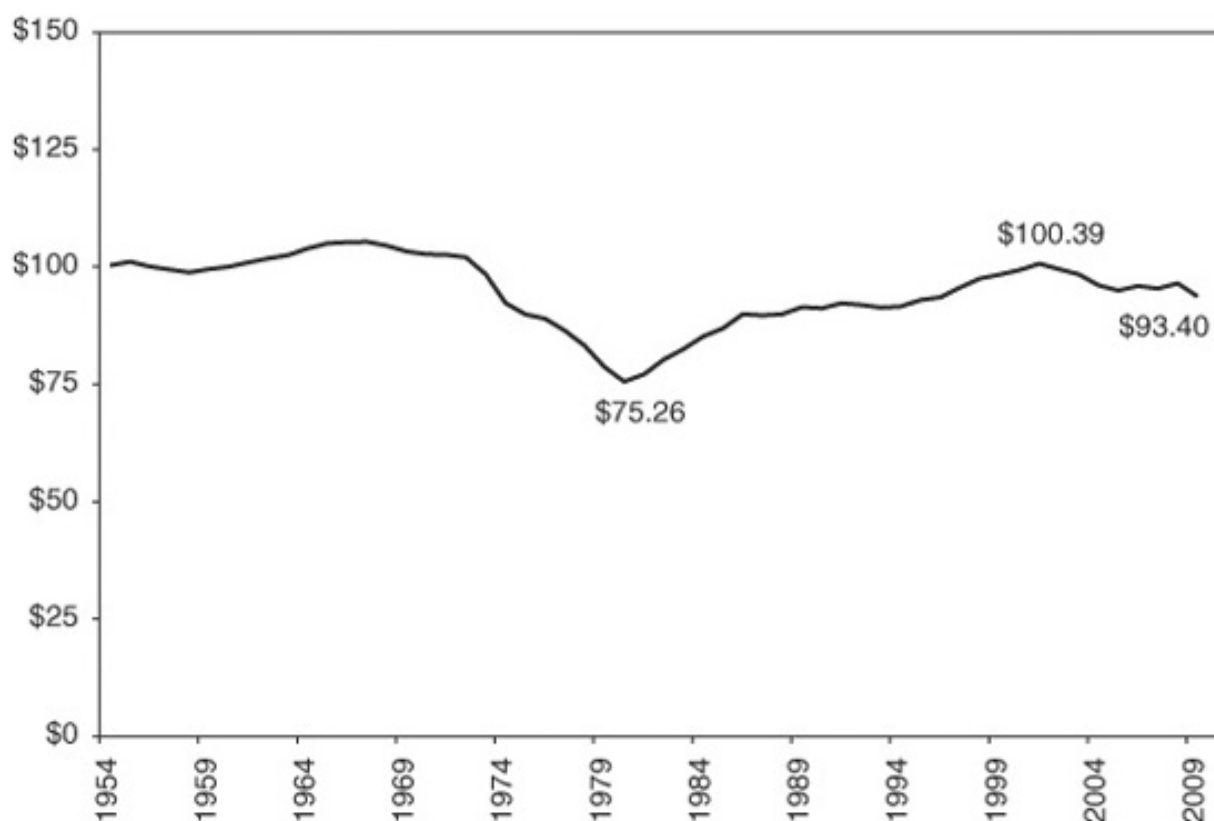


and in 2001 it hit \$100.39. Then the value began to drop again, falling to \$93.40 by the end of 2009. If you think about this, for more than 30 years we have been paying our government to borrow money from us.

There are a couple of Treasury investments that are protected from the corrosive effect of inflation but not taxes. Treasury Inflation-Protected Securities (TIPS) and I-bonds are Treasury securities that protect principal and interest from rising inflation. The maturity value of these bonds increases in direct proportion to an increase in the inflation rate. The interest paid during the period also increases with the inflation rate.

FIGURE 2-2

Cumulative 30-day T-bill Return after Taxes and Inflation, Assuming a 25 Percent Tax Rate, from December 31, 1954



Some people argue that TIPS are a better representation of a risk-free rate than T-bills because inflation is factored out. But TIPS are not without their own risks. First, TIPS are publicly traded securities, and, as such, they fluctuate in value as interest rates rise and fall. The Barclays Capital U.S. Treasury Inflation Protected Securities Index fell by 2.4 percent in 2008